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China Renewable Energy

Polysilicon, Solar Cell & Module Prices Drop This Week; Overseas Sales Looks Better Than Local Demand

CITI'S TAKE

China solar product prices along different parts of the supply chain generally remained at low levels last week, not far from variable production costs and with ample inventory. The market prices declined wow for n-type polysilicon, solar cell and solar modules last week. Export seems more encouraging than domestic sales with large framework agreements for overseas sales signed at an industry conference held in Shanghai recently. We are selective on the China solar sector due to excessive supply. Anti-involution measures from the government, if any, in 2026E would likely be softer than those in 2025 since China's PPI and CPI have rebounded partly resulting from higher energy prices driven by the Middle East conflict. In the China solar and ESS sector, we have Buy ratings on Sungrow and Deye.

China Solar Sector

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Update from recent industry conference and space solar – The International Photovoltaic Power Generation and Smart Energy Conference & Exhibition ('SNEC') closed in Shanghai on 5 Jun 2026. At the exhibition, on-site signings were dominated by GW-scale framework memorandums of understanding for modules. Longi, Jinko, Trina Solar and JA Solar have signed new supply agreements with overseas buyers primarily from the Middle East, Africa and Southeast Asia, alongside a small number of integrated PV-storage strategic cooperation deals. Very few polysilicon and silicon wafer contracts were signed on site; transactions of these products were negotiated mostly off-site via annual long-term agreements instead, based on our understanding. In addition, two space PV industry alliances have been officially launched, led by GCL and JA Solar respectively. Leading manufacturers are developing lightweight tandem cells for satellites to tap into an entirely new application market.

N-type polysilicon prices dropped this week — The average market price of n-type grade rod-type polysilicon declined 1.3% wow to Rmb33.3/kg in the week ended 10 June 2026, and that of granular polysilicon was flat wow at Rmb33.5/kg in the same week. These market prices were not far from variable production costs. According to SMM, total polysilicon inventory at producer plants was 295k tons as of 4 Jun 2026, down 1.0% wow and remained at a high level with ample supply. Demand was not particularly high for the domestic market.

Wafer prices unchanged wow — The latest market price of n-type wafers was Rmb0.89/W for 182mm products and that of 210mm was Rmb1.19/W, both unchanged wow, despite that there were some price reductions for supply from small manufacturers. SMM estimates China wafer production volume could grow +6.3% mom to 54.3GW in June, and inventory level decreased 0.8% wow to 26.3k tonnes as of Jun 4.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Both market prices of solar cell and solar module declined wow — Average solar cell price this past week was -4.6% wow to Rmb0.31/W for TOPCon products. And average solar module price this week was slightly down 0.3% wow to Rmb0.721/W for 182mm products.

Solar glass prices staying at low level with ample inventory — Average solar glass market price continued to be flat wow at Rmb9.0/m2 for 2.0mm products and flat wow at Rmb15.5/m2 for 3.2mm ones. Industry-wide average inventory period was high at 53.4 days as of Jun 4. China operational daily solar glass melting capacity was -0.1% wow to 82,550 tonnes (-17.4% yoy) as of Jun 4, according to SCI99.

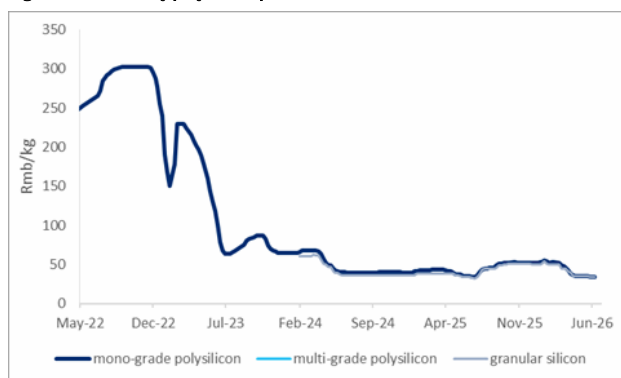
Figure 1. PRC weekly polysilicon prices in the week ended Jun 10

	Mono-Si			
182mm TOPCon	This week	WoW	MoM	YoY
Polysilicon (Rmb/kg)	33.3	-1.3%	-4.7%	-2.2%
Wafer (Rmb/pc)	0.89	0.0%	-3.3%	-2.2%
Cell (Rmb/W)	0.31	-4.6%	-6.1%	31.9%
Module (Rmb/W)	0.72	-0.3%	-0.3%	9.6%
Glass -2.0mm (Rmb/m2)	9.0	0.0%	-1.6%	-21.1%

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Source: SMM, Citi Research

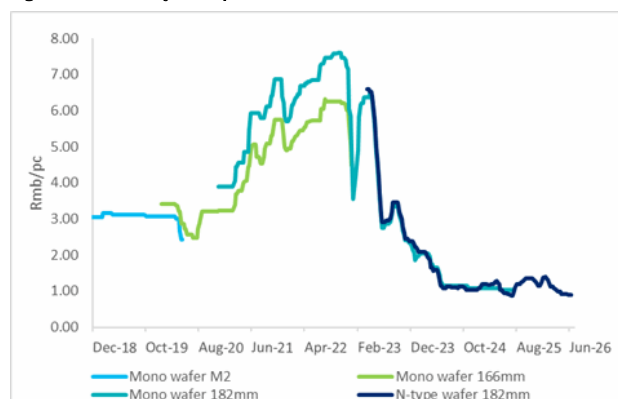
Figure 2. PRC weekly polysilicon price



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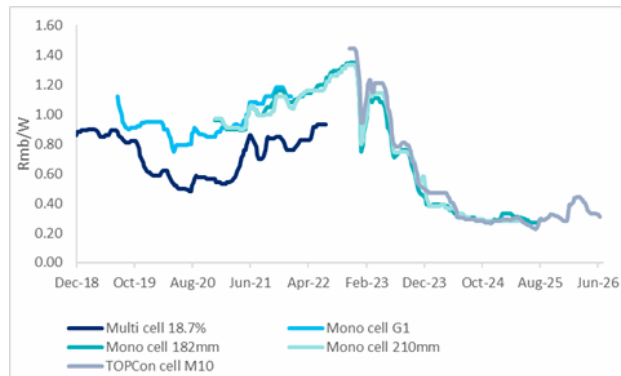
Figure 3. PRC weekly wafer price



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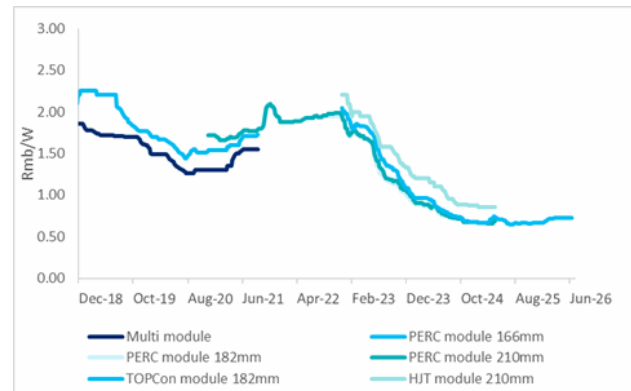
Figure 4. PRC weekly cell price



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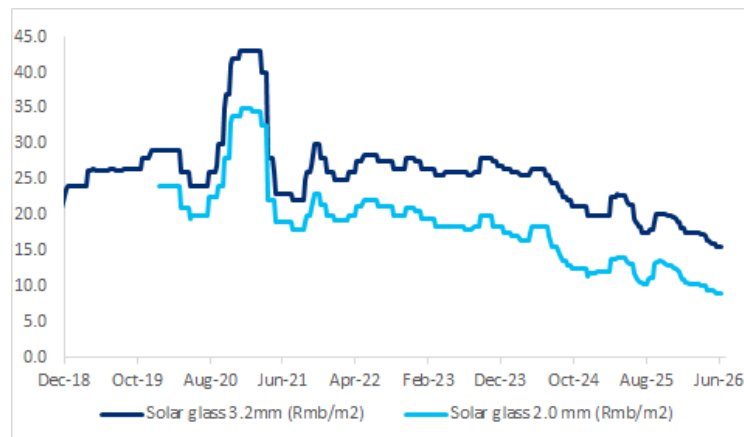
Figure 5. PRC weekly module price



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Source: Citi Research, SMM

Figure 6. PRC weekly solar glass price



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Ningbo Deye Technology

(605117.SS; Rmb103.7; 1; 10 Jun 26; 15:00)

Valuation

Our target price for Deye of Rmb142.9/share is based on a DCF model, which we believe is a suitable valuation methodology as we expect sustainable growth in energy storage demand from emerging markets, from current low penetration levels. Our model incorporates our forecasts for cash flows up to 2035E and assumes a terminal growth rate of 3.0%. We apply a WACC of 8.4%, derived from a risk-free rate of 1.6%, a market risk premium of 8.9%, and an equity beta of 0.9x. Our target price equates to a 2027E P/E of 26.8x and P/B of 10.0x.

Risks

Key downside risks that could cause Deye's shares to trade below our target price include: (i) lower-than-expected residential and C&I energy storage demand in emerging markets; (ii) fiercer-than-expected price competition among inverter peers; and (iii) higher-than-expected trade tariffs against Chinese inverter products in overseas markets.

Sungrow Power Supply

(300274.SZ; Rmb143.55; 1; 10 Jun 26; 15:00)

Valuation

Our target price for Sungrow shares of Rmb168.0 is based on a DCF valuation, which we believe is appropriate because it captures the long-term potential returns of the company. We factor in earnings forecasts up to 2035E and terminal growth of 4%. Our WACC for Sungrow is 9.0%, which assumes: 1) a risk-free rate of 5.2%; 2) a market risk premium of 6.8%; 3) an equity beta of 0.9x; 4) a cost-of-debt of 3.9%; 5) a target debt-to-capital ratio of 30%; and 6) a 25.0% corporate tax rate. At our DCF-based target price, Sungrow would trade at 25.5x 2026E PE and 6.1x PB.

Risks

Key downside risks that could prevent Sungrow shares from reaching our target price include: (i) slower-than-expected solar installation that could accelerate Sungrow's PV inverter and EPC business growth; (ii) less-than-expected energy storage system demand from China and the overseas market; and (iii) intensification of overseas trade tensions that could lessen the exports of Sungrow's products.

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Appendix A-1

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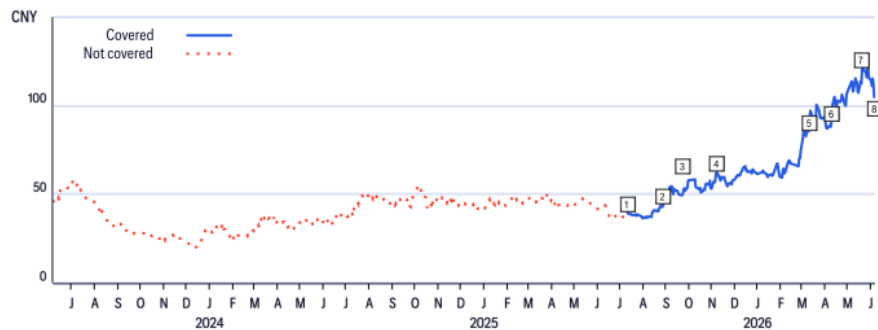
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Ningbo Deye Technology (605117.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Air Ma



	Date	Rating	Target Price	Closing Price
1	11-Jul-25 15:08:17	*1	*48.57	39.34
2	28-Aug-25 12:58:00	1	*50.71	44.42
3	22-Sep-25 03:45:06	1	*55.86	49.53

	Date	Rating	Target Price	Closing Price
4	09-Nov-25 18:20:39	1	*72.86	62.72
5	10-Mar-26 05:39:48	1	*103.57	85.64
6	09-Apr-26 13:43:44	1	*117.86	90.65

	Date	Rating	Target Price	Closing Price
7	20-May-26 02:58:11	1	*142.86	121.21
8	05-Jun-26 02:40:31	1	*142.86	104.91

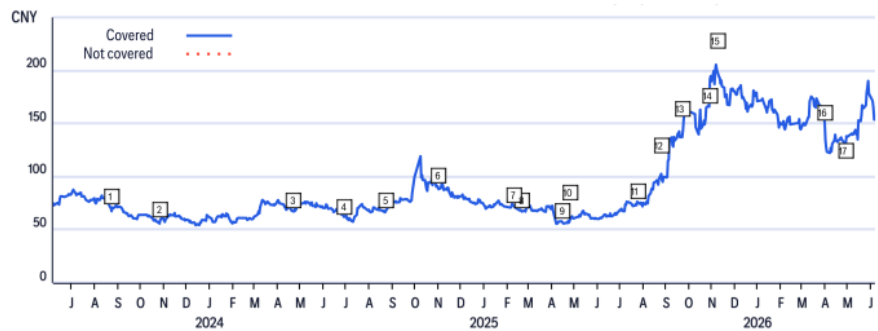
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Rating/target price changes above reflect Eastern Time

Sungrow Power Supply (300274.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Pierre Lau, CFA



	Date	Rating	Target Price	Closing Price
1	24-Aug-23 14:05:57	1	*104.29	70.93
2	27-Oct-23 14:13:49	1	*85.71	59.19
3	22-Apr-24 12:53:27	1	*87.86	67.14
4	30-Jun-24 14:26:02	1	*76.00	62.03
5	25-Aug-24 11:11:18	1	*78.00	68.12
6	31-Oct-24 12:55:52	1	*105.00	90.62

	Date	Rating	Target Price	Closing Price
7	10-Feb-25 09:07:21	1	*85.00	72.13
8	23-Feb-25 08:42:35	*3	*63.00	67.47
9	15-Apr-25 08:13:28	3	*48.00	57.29
10	27-Apr-25 20:08:42	3	*53.00	58.82
11	27-Jul-25 17:35:10	*1	*90.00	75.78
12	25-Aug-25 13:35:38	1	*120.00	102.60

	Date	Rating	Target Price	Closing Price
13	22-Sep-25 03:45:06	1	*160.00	137.23
14	28-Oct-25 12:58:24	1	*200.00	165.88
15	09-Nov-25 16:02:51	1	*240.00	201.00
16	31-Mar-26 13:36:12	1	*200.10	150.76
17	27-Apr-26 12:08:02	1	*168.00	131.39

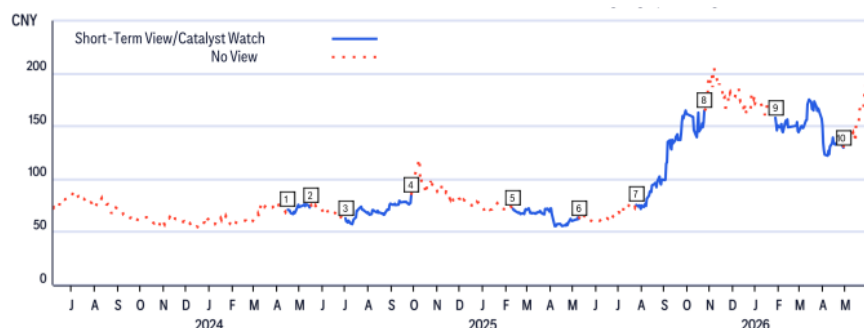
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Sungrow Power Supply (300274.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Pierre Lau, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	15-Apr-24 01:38:47	Add CW	Downside	30 Days	71.24
2	15-May-24 13:01:03	Remove CW	Downside	30 Days	75.11
3	01-Jul-24 00:27:42	Add CW	Downside	90 Days	63.15
4	27-Sep-24 14:27:48	Remove CW	Downside	90 Days	85.20
5	10-Feb-25 04:07:21	Add CW	Downside	90 Days	72.13
6	11-May-25 23:13:57	Remove CW	Downside	90 Days	62.52
7	27-Jul-25 13:35:10	Add STV	Upside	90 Days	75.78
8	24-Oct-25 14:21:43	Remove STV	Upside	90 Days	165.00
9	27-Jan-26 22:15:05	Add CW	Downside	90 Days	158.19
10	28-Apr-26 23:16:25	Remove CW	Downside	90 Days	129.89

CW - Catalyst Watch, STV - Short-Term View

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